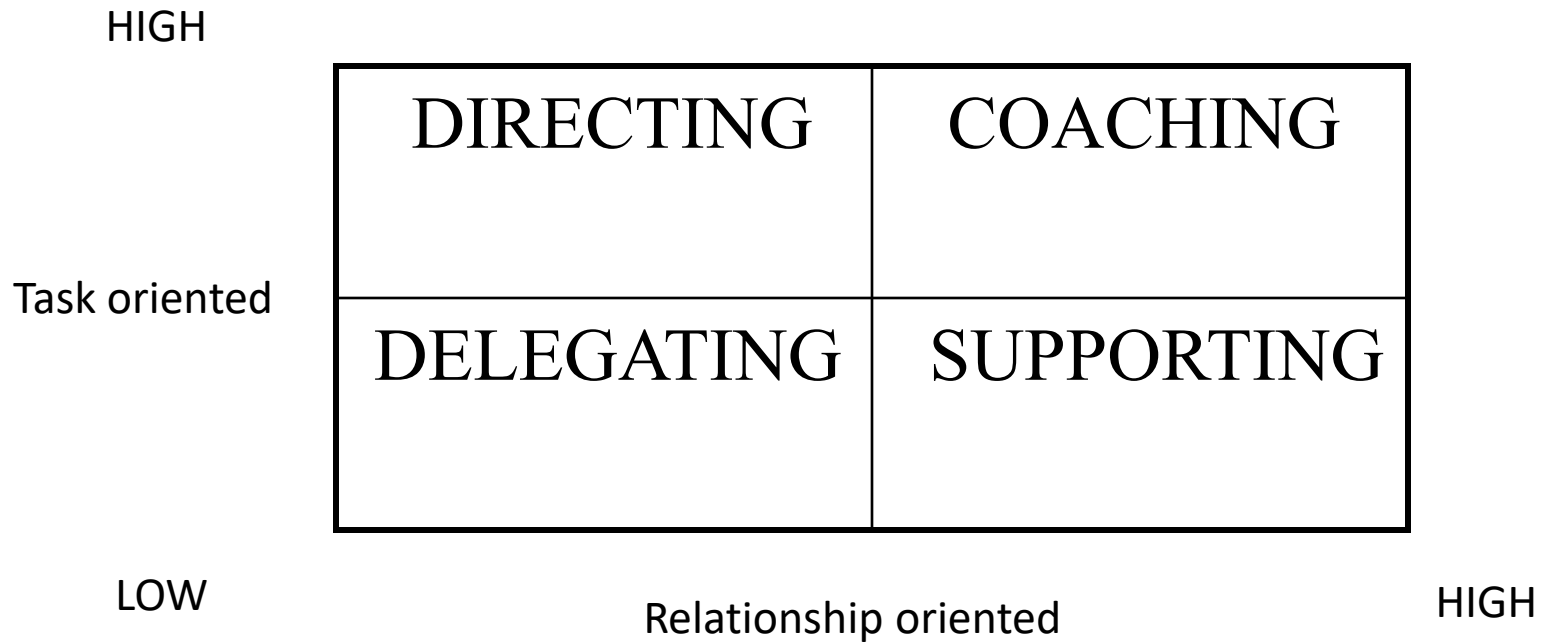


Leadership

- Leadership is an influence, the art or process of influencing people so that they will strive willingly & enthusiastically towards the achievement of an organizational vision & goal.



Basic Leadership Styles



Leadership Continuum

- A continuum of leadership style extends from complete retention of power by the manager to complete freedom for subordinates.

Different styles of leadership:

- Autocratic (Telling): Manager makes decisions with little or no involvement of nonmanagers.
- Diplomatic (Selling): Manager makes decisions without consultation but tries to persuade nonmanagers to accept them.
- Consultative (Consulting): Managers obtains nonmanagers' ideas and uses them in decision making.
- Participative (Joining): Manager involves nonmanagers heavily in the decision making and may even delegate it to them completely.

Trait Theory of Leadership

- A theory that considers personal qualities and characteristics that differentiate leaders from nonleaders.
- Described in terms such as charismatic, enthusiastic and courageous.
- Leaders are born here rather than being made.

Traits / Qualities

- Physical Qualities: Health, Endurance
- Personal Attributes: Enthusiasm, Ability to Inspire, Persuasiveness, Forcefulness, Tact
- Character Attributes: Integrity, Humanism, Self Discipline, Stability
- Intellectual Qualities: Mental Capacity, Ability to Teach, Scientific Approach to Problems

Behavioral Theory of Leadership

- A theory proposing that specific behaviors differentiate leaders from nonleaders.
- Leaders could be taught to be effective if required behavioral patterns could be implanted in individuals.

Ohio State Studies

- Initiating Structure: The extent to which a leader is likely to define and structure his or her role and those of subordinates in the search for goal attainment.
- Consideration: The extent to which a leader is likely to have job relationships characterized by mutual trust, respect for subordinates' ideas and regard for their feelings.

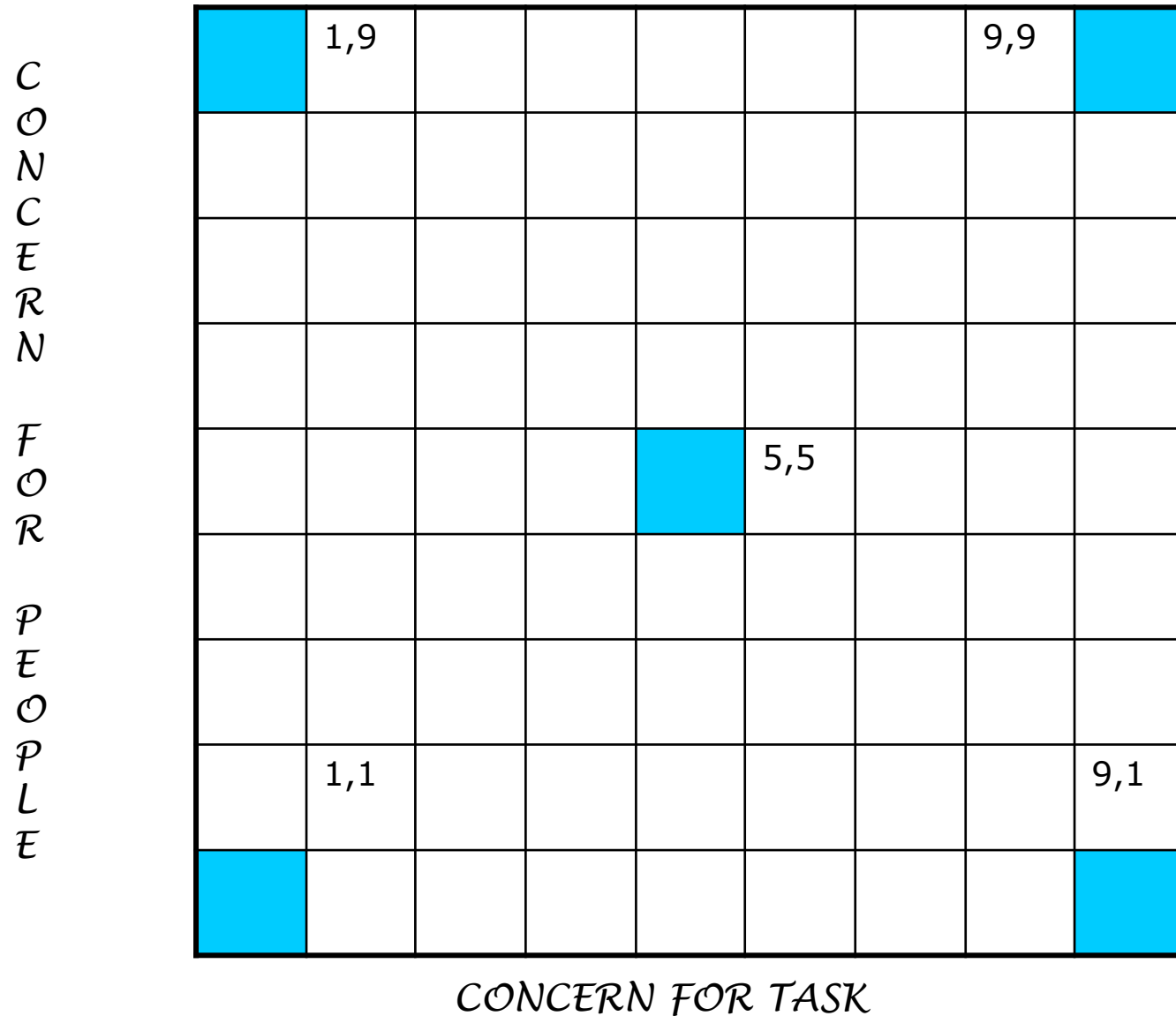
University of Michigan Studies

- Employee Oriented Leader: A leader who emphasizes interpersonal relations, takes a personal interest in the needs of employees and accepts individual differences among members.
- Production Oriented Leader: A leader who emphasizes technical or task aspects of the job.
- Although the Michigan studies emphasized employee-oriented leadership (or consideration) over production oriented leadership (or initiating structure), the Ohio State studies garnered more research attention and suggested that both consideration and initiating structure are important to effective leadership known as high-high leader.

Blake & Mouton Managerial Grid

- A tool used by managers for appraising leadership style.
- Highlights multiple dimensions of leadership with respect to concern for people and concern for task / production.
- The grid clarifies, on two 9-point scales, how the two dimensions are related.

Blake & Mouton Managerial Grid



Blake & Mouton Managerial Grid

- (1,9) - least concern for task and utmost concern for people (country club management).
- (9,1) - least concern for people and utmost concern for task (task management).
- (1,1) - least concern for people and least concern for task (impoverished management).
- (5,5) - equal concern for task and people (middle of the road management).
- (9,9) - highest concern for both people and task (team management).

Contingency Theories

The Fiedler Model

- This theory of leadership effectiveness was based on the studies of a wide range of group effectiveness, and concentrated on the relationship between leadership and organizational performance.
- According to this theory, if an organization attempts to achieve group effectiveness through leadership, then there is a need to assess the leader according to an underlying trait, assess the situation faced by the leader, and construct a proper match between the two.
- In order to assess the attitudes of the leader, Fiedler developed the 'least preferred co-worker' (LPC) scale in which the leaders are asked about the person with whom they least like to work.

Leadership Style and the Work Situation: The Fiedler Model

- The scale is a questionnaire consisting of 16 items used to reflect a leader's underlying disposition toward others.
- The items in the LPC scale are pleasant / unpleasant, friendly / unfriendly, rejecting / accepting, unenthusiastic / enthusiastic, tense / relaxed, cold / warm, helpful / frustrating, cooperative / uncooperative, supportive / hostile, quarrelsome / harmonious, efficient / inefficient, gloomy / cheerful, distant / close, boring / interesting, self-assured / hesitant, open / guarded.
- Each item in the scale is given a single ranking of between one and eight points, with eight points indicating the most favorable rating.

Leadership Style and the Work Situation: The Fiedler Model

Situational factor

According to Fiedler, a leader's behavior is dependent upon the favorability of the leadership situation. Three factors work together to determine how favorable a situation is to a leader.

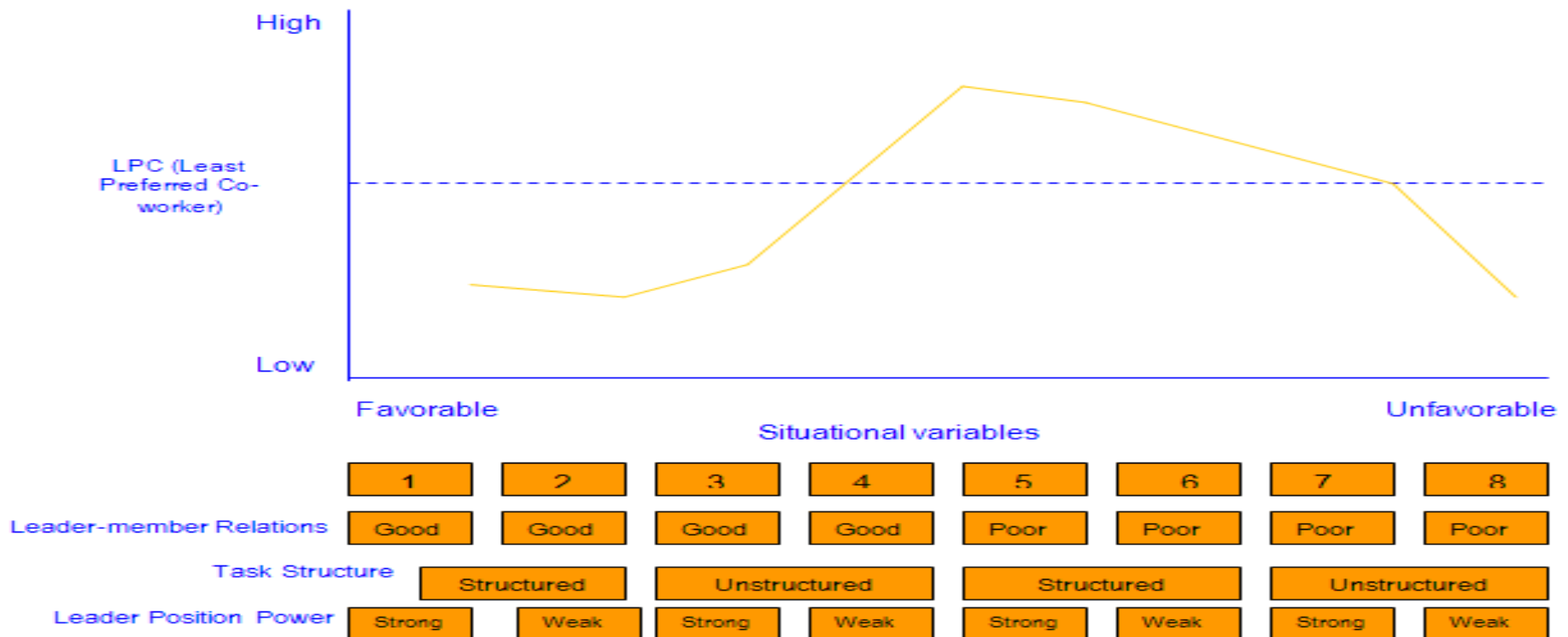
- **Leader-member relations:** The degree to which the leader is trusted and liked by the group members, and the willingness of the group members to follow the leader's guidance (good / poor).
- **Task structure:** The degree, to which the group's task has been described as structured or unstructured, has been clearly defined and the extent to which it can be carried out by detailed instructions (structured / unstructured).
- **Position power:** The power of the leader by virtue of the organizational position and the degree to which the leader can exercise authority on group members in order to comply with and accept his direction and leadership (strong / weak).

Leadership Style and the Work Situation: The Fiedler Model

- With the help of these three variables, eight combinations of group-task situations were constructed by Fiedler. These combinations were used to identify the style of the leader.
- The leader's effectiveness is determined by the interaction of the leader's style of behavior and the favorableness of the situational characteristics. The most favorable situation is when leader-member relations are good, the task is highly structured, and the leader has a strong position power.
- Fiedler also suggested that leaders may act differently in different situations. Relationship-oriented leaders generally display task-oriented behaviors under highly favorable situations and display relationship-oriented behaviors under unfavorable or intermediate favorable situations. Similarly, task-oriented leaders frequently display task-oriented in unfavorable or intermediate favorable situations but display relationship-oriented behaviors in favorable situations.

Leadership Style and the Work Situation: The Fiedler Model

- Research on the contingency model has shown that task-oriented leaders are more effective in highly favorable (1, 2, 3) and highly unfavorable situation (7, 8) whereas relationship-oriented leaders are more effective in situations of intermediate favorableness (4, 5, 6).



Hersey and Blanchard's Situational Leadership Model

- According to this model, the leader has to match the leadership style according to the readiness of subordinates which moves in stage and has a cycle. Therefore, this theory is also known as the life-cycle theory of leadership.
- Readiness is the extent to which followers have the ability and willingness to accomplish a specific task.
- Ability is the knowledge, experience, and skill that an individual possesses to do the job and is called job readiness.
- Willingness is the motivation and commitment required to accomplish a given task.

Hersey and Blanchard's Situational Leadership Model

- The style of leadership depends on the level of readiness of the followers.

The readiness (R) is divided into a continuum of four levels which are:

- **R1 - low follower readiness:** refers to low ability and low willingness of followers i.e. those who are unable and insecure.
- **R2 - low to moderate follower readiness:** refers to low ability and high willingness of followers i.e. those who are unable but confident.
- **R3 - moderate to high follower readiness:** refers to high ability and low willingness of followers i.e. those who are able but insecure.
- **R4 - high follower readiness:** refers to high ability and high willingness of followers i.e. those who are both able and confident.

Hersey and Blanchard's Situational Leadership Model

For each of the four levels of readiness, the leadership style used may be a combination of task and relationship behavior.

- **Task behavior:** Extent to which the leader spells out the duties and responsibilities of a follower which includes providing them direction, setting goals, and defining roles for them. Usually a one-way communication exists which is meant to provide the direction to the followers.
- **Relationship behavior:** Extent to which the leader listens to the followers, and provides encouragement to them. Here, a two-way communication exists between the leader and the follower.

Hersey and Blanchard's Situational Leadership Model

By combining the task and the relationship behavior, we arrive at the following four different styles of leadership which correspond with the different levels of readiness.

- **S1 - Telling:** This style is most appropriate for low follower readiness (R1). It emphasizes high levels of both task and relationship behavior.
- **S2 - Selling:** This style is most appropriate for low to moderate follower readiness (R2). It emphasizes high levels of task behavior and limited relationship behavior.
- **S3 - Participating:** This style is most appropriate for moderate to high follower readiness (R3). It emphasizes high levels of relationship behavior but limited task behavior.
- **S4 - Delegating:** This style is most appropriate for high follower readiness (R4). It emphasizes low levels of both task and relationship behavior.

Contemporary Theories

Transactional & Transformational Leadership

- Transactional Leaders: Leaders who guide or motivate their followers in the direction of established goals by clarifying role and task requirements.
- Transformational Leaders: Leaders who inspire followers to transcend their own self-interests and who are capable of having a profound and extraordinary effect on followers.
- Pay attention to the concerns and developmental needs of individual followers.
- Change followers' awareness of issues by helping them to look at old problems in new ways.
- Able to excite, arouse and inspire followers to put out extra effort to achieve group goals.

Transactional Leadership

- Transactional leadership involves motivating and directing followers primarily through appealing to their own self-interest.
- The main goal of the follower is to obey the instructions of the leader. The style can also be mentioned as a 'telling style'.
- The leader believes in motivating through a system of rewards and punishment.

These exchanges involve four dimensions:

- **Contingent Reward:** Contracts exchange of rewards for effort, promises rewards for good performance and recognizes accomplishments.
- **Management by Exception (active):** Watches and searches for deviations from rules and standards, takes correct action.
- **Management by Exception (passive):** Intervenes only if standards are not met.
- **Laissez Faire:** Abdicates responsibilities and avoids making decisions.

Transformational Leadership

- Transformational leadership may be found at all levels of the organization: teams, departments, divisions, and organization as a whole.
- Such leaders are visionary, inspiring, daring, risk-takers, and thoughtful thinkers. They have a charismatic appeal.

For bringing major changes, transformational leaders must exhibit the following four factors:

- **Idealized influence:** Provide vision as sense of mission, instills pride, gains respect and trust.
- **Inspirational motivation:** Communicates high expectations, uses symbols to focus efforts, and expresses important purposes in simple ways.
- **Intellectual Stimulation:** Promotes intelligence, rationality, and careful problem solving.
- **Individualized Consideration:** Gives personal attention, treats each employee individually, coaches and advises.